

25STCV32408 25STCV32408

County: los-angeles

Division: Civil Law and Motion

Department: 733

Hearing date: 2026-07-31

Motion: DEFENDANT'S MOTION TO COMPEL ARBITRATION AND STAY PROCEEDINGS

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Case Number: 25STCV32408 Hearing Date: July 31, 2026 Dept: 733

SUPERIOR COURT OF THE STATE OF
CALIFORNIA

FOR THE COUNTY OF LOS ANGELES

YOUNGKYUE

LEE, an individual,

Plaintiff,

vs.

LUCID

USA, INC.; and DOES 1 through 10,inclusive,

Defendants.

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CASE

NO.: 25STCV32408

[TENTATIVE]

ORDER RE: DEFENDANT'S MOTION TO COMPEL ARBITRATION AND STAY PROCEEDINGS

Dept. 733

8:30 a.m.

July 31, 2026

I.

INTRODUCTION

This

is a Song-Beverly action.

On

November 6, 2025, Plaintiffs Youngkyue Lee ("Plaintiff") filed a complaint
against

Defendant Lucid Group,

Inc, ("Defendant") alleging causes of action for (1) Breach of Implied Warranty
of Merchantability and (2) Breach of Express Warranty.

On May 6, 2026 Defendant filed the instant motion to
compel arbitration.

On July 17, 2026, Plaintiff filed an opposition.

On July 24, 2026, Defendant filed a reply.

II.

LEGAL STANDARD

Under Code of Civil

Procedure section 1281.2, a court may order arbitration of a controversy if it finds that the parties have agreed to arbitrate that dispute. Because the obligation to arbitrate arises from contract, the court may compel arbitration only if the dispute in question is one in which the parties have agreed to arbitrate. (*Weeks v. Crow* (1980) 113 Cal.App.3d 350, 352.) Since arbitration is a favored method of dispute resolution, arbitration agreements should be liberally interpreted, and arbitration should be ordered unless the agreement clearly does not apply to the dispute in question. (*Id.* at p. 353; *Segal v. Silberstein* (2007) 156 Cal.App.4th 627, 633.)

III.

EVIDENTIARY OBJECTIONS

Plaintiff

objects to Page 2, lines 16 through 18 of the Declaration of Ingrid Robertson

filed in support of the
instant motion. The Court overrules
the objection.

IV.

JUDICIAL NOTICE

Defendant

requests for the Court to take judicial notice of the content of the website

https://lucidmotors.com/media/document/New_Vehicle_Limited_Warranty_enUS_2024.15.1.pdf as memorialized in the internet archive the Wayback Machine circa June 14, 2024, pursuant to Evidence Code sections 452(d) and 452(h). The Court grants Defendant's request.

V.

DISCUSSION

a. Existence of Valid Arbitration Agreement

“Arbitration

is a matter of contract.” (Metalclad Corp. v. Ventana Env't Organizational P'ship (2003) 109 Cal.App.4th 1705, 1711.) “General principles of contract law determine whether the parties have entered a binding agreement to arbitrate.” (Craig v. Brown & Root, Inc., 84 Cal.App.4th 416, 420 (2000); Engalla v. Permanente Medical Group, Inc., 15 Cal.4th 951, 971-72 (1997).) “In determining whether an arbitration agreement exists, we apply the same rules of contract formation as for any other contract.” (Weeks v. Interactive Life Forms, LLC (2024) 100 Cal.App.5th 1077, 1084.)

Under

California law, arbitration agreements are valid, irrevocable, and enforceable, except on such grounds that exist at law or equity for voiding a contract. (Winter v. Window Fashions Professions, Inc. (2008) 166 Cal.App.4th 943, 947.) The party moving to compel arbitration must establish the existence of a written arbitration agreement between the parties. (Code of Civ. Proc. Section 1281.2.) In ruling on a motion to compel arbitration, the court must first determine whether the parties agreed to arbitrate the dispute, and general principles of California contract law help guide the court in making this determination. (Mendez v. Mid-Wilshire Health Care Center (2013) 220 Cal.App.4th 534, 541.)

Once

petitioners allege that an arbitration agreement exists, the burden shifts to respondents to prove the falsity of the purported agreement, and no evidence or authentication is required to find the arbitration agreement exists. (See Condee v. Longwood Mgt. Corp. (2001) 88 Cal.App.4th 215, 219.) However, if the existence of the agreement is challenged, “petitioner bears the burden of proving [the arbitration agreement's] existence by a preponderance of the evidence.” (Rosenthal v. Great Western Fin. Securities Corp. (1996) 14 Cal.4th 394, 413. See also Espejo v. Southern California Permanente Medical Group (2016) 246 Cal.App.4th 1047, 1058-1060.)

“With

respect to the moving party's burden to provide evidence of the existence of an agreement to arbitrate, it is generally sufficient for that party to present a copy of the contract to the court.” (Baker

v. Italian Maple Holdings, LLC (2017) 13 Cal.App.5th 1152, 1160). “A petition to compel arbitration or to stay proceedings pursuant to Code of Civil Procedure sections 1281.2 and 1281.4 must state, in addition to other required allegations, the provisions of the written agreement and the paragraph that provides for arbitration. The provisions must be stated verbatim or a copy must be physically or electronically attached to the petition and incorporated by reference.” (Cal. Rules of Court, Rule 3.1330.) “Once such a document is presented to the court, the burden shifts to the party opposing the motion to compel, who may present any challenges to the enforcement of the agreement and evidence in support of those challenges.” (Baker, supra, 13 Cal.App.5th at p. 1160.)

In attempting to demonstrate that a valid agreement to arbitrate exists, Defendant provides that on July 19, 2024, Plaintiff entered into a lease agreement with Defendant for a 2024 Lucid Air bearing VIN: 50EA1PGA9RA003667 at issue in this litigation (the “Vehicle”). (See Robertson Decl., ¶ 3, Ex. A; see also Compl., ¶ 5.) Accompanying the lease of the Vehicle, Plaintiff issued a New Vehicle Limited Warranty providing coverage for the Subject Vehicle, which included an agreement to arbitrate. (Robertson Decl., ¶ 5, Ex. B.)

The Warranty, which Plaintiff received, contains an arbitration provision stating that it is: “MANDATORY AND BINDING ON YOU, EXCEPT YOU MAY OPT OUT OF THIS MANDATORY ARBITRATION AGREEMENT IN EITHER OF TWO WAYS.” (Id. at pp. 15–17.) The arbitration provision states in bold, capitalized font:

IMPORTANT:
BY REQUESTING OR ACCEPTING BENEFITS UNDER THIS LUCID WARRANTY, INCLUDING REQUESTING OR HAVING ANY REPAIRS PERFORMED UNDER THIS LUCID WARRANTY, YOU AGREE TO BE BOUND BY THIS MANDATORY ARBITRATION AGREEMENT AND WAIVE YOUR RIGHT TO A JURY TRIAL IN FAVOR OF RESOLVING THROUGH BINDING ARBITRATION ANY CLAIM OR DISPUTE ARISING FROM OR RELATING IN ANY WAY TO THESE LUCID WARRANTY TERMS, BENEFITS (REQUESTED OR ACCEPTED), OR THE RIGHTS AND DUTIES HEREUNDER.

(Id. at p. 15.)

The arbitration provision defines “disputes” as either any “dispute or claim between you and Lucid Entities” or any “dispute or claim arising from or

related to the purchase, condition, or warranty of this Vehicle.” (Id. at p. 16.)

Here,

Defendant has not provided a contract or agreement that contains Plaintiff's signature. (Garrison v. Superior Ct. (2005) 132 Cal.App.4th 253, 263–64 [“Although, as noted, California has a strong public policy in favor of arbitration, there is no preference for the arbitral forum when the parties have not agreed to arbitrate.”]; Ramirez v. Golden Queen Mining Co., LLC (2024) 102 Cal.App.5th 821, 831 [“[A] party seeking arbitration can carry its initial burden “ ‘by attaching a copy of the arbitration agreement purportedly bearing the opposing party's signature.’”].).

However,

in an effort to show that a valid arbitration agreement exists based on the Warranty, Defendant argues (1) incorporation and (2) an equitable estoppel theory in an effort to bind Plaintiff to the arbitration provision in the Warranty.

a.

Incorporation

Defendant

first contends that it has met its burden to establish that a valid arbitration

agreement exists because

Plaintiff signed the Lease agreement, which incorporates the Warranty and its arbitration provision by reference. (Robertson Decl., Ex. A.)

“A

contract may validly include the provisions of a document not physically a part of the basic contract.... ‘It is, of course, the law that the parties may incorporate by reference into their contract the terms of some other document. [Citations.] But each case must turn on its facts. [Citation.] For the terms of another document to be incorporated into the document executed by the parties the reference must be clear and unequivocal, the reference must be called to the attention of the other party and he must consent thereto, and the terms of the incorporated document must be known or easily available to the contracting parties.’ ” (Williams Constr. Co. v. Standard–Pacific Corp. (1967) 254

Cal.App.2d 442, 454.) “The contract need not recite that it ‘incorporates’ another document, so long as it ‘guide[s] the reader to the incorporated document.’” (Shaw v. Regents of Univ. of California (1997) 58 Cal.App.4th 44, 54.) “Under California law, it is well settled that the interpretation of a contract is a question of law for the trial court’s determination.” (SDR Capital Mgmt., Inc. v. Am. Int’l Specialty Lines Ins. Co. (S.D.Cal. 2004) 320 F.Supp.2d 1043, 1046.)

Here, the Lease agreement states under the section entitled “WARRANTIES” that “[t]he Vehicle is covered only by the manufacturer’s standard new car warranty. All rights under the warranty are assigned to Lessee and Lessee acknowledges that Lessee has received a copy of the warranty.” (Robertson Decl., Ex. A.)

The Court does not find that the Lease’s reference to “standard new car warranty” is a clear and unequivocal reference to the “New Vehicle Limited Warranty,” so that it incorporates the latter by reference. The Lease vaguely references “the manufacturer’s standard new car warranty” once throughout the entire Lease and does not reference New Vehicle Limited Warranty by title. (See Chan v. Drexel Burnham Lambert Inc. (1986) 178 Cal.App.3d 632, 641 [finding the reference to be “amorphous” because “the reference did not identify any document or source by title”]; see also Paul Mercury Ins. Co. v. Am. Safety Indem. Co. (N.D. Cal. May 21, 2014) No. 12-CV-05952-LHK, 2014 WL 2120347, at *10 [“Even if the other party is aware of the extrinsic document, an express incorporation is required.”]; Troyk v. Farmers Grp., Inc. (2009) 171 Cal.App.4th 1305, 1332 [finding that the reference to the “Prematic Agreement” was not clear and unequivocal, where the contract “contains only two references to Prematic” with “truncated, vague and obtuse references to “Prematic”].) The Court cannot reasonably conclude that the Lease clearly and unequivocally refers to the “New Vehicle Limited Warranty” that Defendant purportedly “issued” to Plaintiff. A clear and unequivocal reference must “guide the reader to the incorporated document,” which the Court does not find that the Lease here has done. (Shaw, supra, 58 Cal.App.4th at p. 54.)

Given that the Court does not find the Lease’s reference to the New Vehicle Limited Warranty to be clear and unequivocal, the Court need not address whether its terms were easily accessible to Plaintiff or if the reference was called to the attention of Plaintiff.

b.

Equitable Estoppel

Next, Defendant argues
equitable estoppel.

The doctrine of equitable

estoppel applies if (1) the plaintiff relies upon the contract's terms in asserting claims against the non-signatory defendant, or those claims are "intimately founded in or intertwined with" the contract itself, or (2) if the plaintiff alleges "substantially interdependent and concerted misconduct" by the defendant, where such allegations of misconduct are "founded in or intimately connected with" the obligations of the contract. (Goldman v. KPMG LLP (2009) 173 Cal.App.4th 209, 221.) The rule allowing a nonsignatory to enforce an arbitration agreement on equitable estoppel grounds is based on the principle that a party should be precluded "from asserting rights "he otherwise would have had against another" when his own conduct renders assertion of those rights contrary to equity." (Metalclad Corp. v. Ventana Environmental Organizational Partnership (2003) 109 Cal.App.4th 1705, 1713-1714 (citations omitted) [the doctrine of equitable estoppel is meant to "prevent a party from playing fast and loose with its commitment to arbitrate, honoring it when advantageous and circumventing it to gain undue advantage"].)

Defendant

argues that principles
of equitable estoppel prevent Plaintiffs from avoiding the Arbitration Provision in the Warranty, which is directly between Plaintiffs and Defendant. Defendant claims that Plaintiffs cannot seek to enforce the terms of the Warranty while simultaneously seeking not to enforce its arbitration provision. The Court does not agree.

For

equitable estoppel to apply, "the causes of action against the nonsignatory must be intimately founded in and intertwined with the underlying contract obligations. Indeed, there must be actual reliance on the terms of the agreement, and the causes of action must premise liability on duties imposed by the agreement itself." (Ballesteros v. Ford Motor Co. (2025) 109 Cal.App.5th 1196, 1207-1208 [internal citations and quotation marks omitted].)

Here, Plaintiffs'

claims stem not from the Warranty, but from statute. A recent appellate case explicitly found that a manufacturer's "obligations under the [Song-Beverly] act do not arise from contract, [rather] they arise from the Act." (*Daevieon Towns v. Hyundai Motor America* (Cal. Ct. App., Dec. 22, 2025) 2025

WL 3707173 at *8.) The Song-Beverly Act "defines the obligations of the manufacturer, and the remedies available to the consumer. And it permits the recovery of civil penalties This action was governed by statute, not contract, from beginning to end." (*Ibid.* (internal citations omitted).)

Even when confronted with

the argument that the plaintiff's claims were for "breach of express warranty, and a warranty is a contract," the Court continued to acknowledge that "[t]his argument elevates the label over the substance of the claim. The title of the cause of action as it appears in the complaint is 'Violation of Song-Beverly Act—Breach of Express Warranty.' But the complaint does not allege a breach of the warranty; it alleges breach of 'obligations under the Song-Beverly Act.'" (*Id.* at *9.)

In

light of this authority, it therefore cannot be said that Plaintiff's claims are so intertwined with the Warranty that Plaintiffs are equitably estopped from pursuing them in court. Since Plaintiffs are not relying on the terms of the Warranty in asserting their Song-Beverly claims, Plaintiffs are not equitably estopped from refusing to comply with the Arbitration Provision in the Warranty. (See generally *Mattson Technology, Inc. v. Applied Materials, Inc.* (2023) 96 Cal.App.5th 1149, 1157–1158 [no equitable estoppel where the plaintiff's statutory trade secrets claim existed without regard to the signatory's contractual obligations to the plaintiff]; *UFCW & Employers Benefit Trust v. Sutter Health* (2015) 241 Cal.App.4th 909, 929 [no equitable estoppel where the plaintiff alleged statutory claims for unlawful competition and antitrust rather than claims relying on the contract].)

Defendant has failed to

meet its burden in

proving the existence of a valid arbitration agreement. Defendant's motion is denied.

IV. CONCLUSION

Based
on the foregoing, Defendant's motion to compel arbitration is DENIED.

Dated
this 11th
day of February 2026

Hon. Gary D.
Roberts

Judge of the
Superior Court